Syllabus Edition
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The Role of Stakeholder Groups

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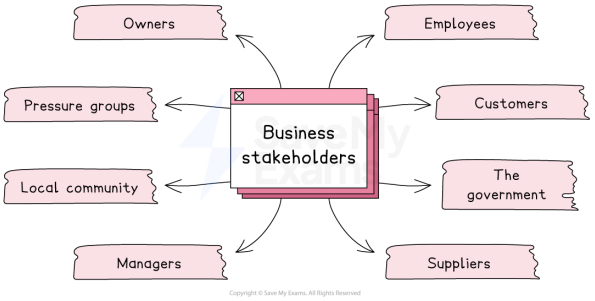
Internal stakeholders

- **Business stakeholders are individuals or groups that affect or are affected by the actions of a business**
  - **External stakeholders** are people and organisations that are **outside of the business** and include suppliers, governments, customers, lenders, such as banks, and the local community
  - **Internal stakeholders** include anyone **within the organisation,** such as employees, owners, shareholders, and managers



Business stakeholders include customers, employees, suppliers and the government

Typical internal stakeholder objectives

Owners (sole trader, partners and shareholders)

- Owners of small sole trader businesses often want to be able to **earn a living**, achieve a certain **lifestyle** or **gain recognition** for their work

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

of a company's stock
    - They invest in the company to make a profit
    - Their **primary objective** is to **maximise their returns** on their investment
        - E.g. A shareholder of Apple may want the company to release new products and increase sales **to increase the value of their shares**

Employees

- Employees are individuals who **work for a company**
- Their primary objective is to **earn a living**, have **job security**, **be paid fairly** for their work and have a **safe** working environment
    - E.g. Google employees in California have some of the **best working conditions in the world**, with sleeping pods, games rooms and free speciality coffee all-day

Managers

- Managers are responsible for the day-to-day operations of a company
- Their primary objective is to **meet the company's goals and objectives**
- They want to **maximise profits** and **minimise costs** while ensuring that the company operates efficiently
    - E.g. A manager of McDonald's may want the restaurant to **increase sales and reduce costs** by improving **efficiency**

Help me understand

Objectives of external stakeholders

Suppliers

- Suppliers are individuals or businesses that **provide goods or services to a business**
- Their primary objective is to sell products or services and **make a profit**
- Suppliers want to be paid on time and have a **long-term relationship** with the company
    - For example, **Busco Sugar Milling** supplies **Coca-Cola** with 84% of the sugar used in the manufacture of its soft drinks. It wants the company to continue buying their sugar and to pay bills on time

Customers

- Customers are individuals or businesses who purchase goods/services from a business
- Their primary objective is to **receive high-quality** products at a **fair price**
- Customers also want good customer service, clear communication and a positive buying experience

The local community

- Their primary objective is **for the business to have a positive impact** on the community
- This may include the business being environmentally responsible, providing jobs, and **contributing to local causes**
  - For example, **Burnley Savings & Loans Ltd** donates all of their profits to local charities and good causes

Government

- The government is responsible for creating and enforcing laws and regulations that affect businesses
- Their primary objective is to **promote the public good and protect the interests of citizens**
- The government wants companies to operate within the law and contribute to the economy

Lenders

- Lenders are individuals or financial institutions (like banks) that provide loans or credit to a business
- Their primary objective is to be repaid on time with interest, so they can make a return on the money they lend
- Lenders also want the business to be financially stable and low-risk, so they feel confident their money is safe
  - For example, International bank **HSBC** expects regular repayments on loans and may want to see business accounts or cash flow forecasts to check a business can afford repayments before it grants a loan

Stakeholder conflict

- Stakeholder groups can have **conflicting interests and objectives**, which can lead to tensions and conflicts
  - **Shareholders** may prioritise profit maximisation, while **employees** may prioritise fair treatment and high wages
  - **Customers** may prioritise low prices, while the **local community** may prioritise environmental sustainability which raises costs and prices

- These conflicts can create challenges for businesses to **balance the competing demands of different stakeholder groups**
  - For example, a company may need to invest in costly environmental technology to meet the demands of the local community, but this may reduce profitability and upset shareholders

- Conflicts can also arise when stakeholders have **different levels of power and influence**
  - For example, pressure groups with strong public support may be able to influence business activity more than individual shareholders

- **Managing stakeholder conflicts** requires careful communication, transparency and **compromise**

Employees vs employers	• In 2020, British Airways planned to cut 12,000 jobs and reduce pay due to COVID-19's impact • Employees and trade unions protested, claiming the cuts were unfair and challenged them legally
Pressure groups vs government	• In 2019, Extinction Rebellion held UK-wide protests demanding climate action • While many supported them, some politicians criticised the disruption and economic impact
Local communities vs developers	• In 2019, residents opposed the HS2 rail project, saying it would harm the environment, disrupt communities and cost too much • Environmental groups also criticised the project's priorities

Examiner Tips and Tricks

Be ready to explain **conflicts between stakeholder objectives** – for example, shareholders may want higher profits while employees seek higher wages. Showing this tension demonstrates strong understanding

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